

The Ukrainian Refugee Influx and Poland's Housing Market: Econometric Evidence, Public Perception, and Policy Lessons

Policy Brief / Portfolio Version

Author: Patrycja Oliwia Pyzikiewicz

Executive Summary

The full-scale Russian invasion of Ukraine in February 2022 triggered the largest refugee crisis in Europe since World War II. Poland, as the primary destination, received over 1.5 million Ukrainian refugees. This sudden demographic shock coincided with already strained housing market conditions shaped by post-COVID dynamics, high inflation, and expansionary government housing programmes.

Using quarterly data (2014–2023) and an ARIMA model with exogenous regressors, this analysis finds that inflation and interest rates were the primary statistical drivers of housing price increases. The war dummy variable (representing the post-February 2022 period) was not statistically significant for transaction prices of apartments.

These econometric results stand in contrast to:

- Academic literature (Trojanek & Gluszak, 2022; Gluszak & Trojanek, 2023/2025), which documents a clear and significant short-term impact on rental prices (approx. 0.67–0.74% rent increase per 1 percentage point rise in city population due to refugees).
- A survey of Polish respondents (n=28), in which nearly 90% attributed rising housing costs at least partly to the war and refugee inflow.

This divergence highlights a classic distinction between sale prices (stickier, investment-driven) and rents (more responsive to immediate demand shocks), as well as the gap between objective econometric evidence and public perception.

Key Policy Insight: While the refugee influx did not fundamentally change long-term house price trends, it exacerbated an already acute affordability crisis in the rental segment, particularly in major cities. Combined with domestic policy factors (e.g., “Kredyt 2%”), this has contributed to deteriorating housing access for young Poles and lower-income households.

Recommendations include accelerating housing supply through deregulation, targeted incentives for rental construction, better integration policies for refugees, and improved public communication on housing market drivers.

1. Introduction

The housing market in Poland has undergone profound transformation since 1989. EU accession, economic growth, and demographic trends created periods of both rapid price increases and corrections. The COVID-19 pandemic and the 2022 Russian invasion of Ukraine introduced additional shocks.

This report examines the impact of the Ukrainian refugee influx on Poland's housing market, combining econometric analysis, existing literature, and original survey data. It aims to separate the effect of the refugee shock from other overlapping factors (inflation, monetary policy, government subsidies) and to draw policy-relevant conclusions for housing affordability and migration management.

2. Literature and Context

Prior to 2022, Polish housing prices showed a steady upward trend interrupted by the 2008 bubble and post-2010 correction. The COVID-19 period brought a sharp 19% price increase by early 2022, driven by low interest rates, fiscal stimulus, and changed preferences for larger dwellings. Studies by Trojanek and Gluszak (2022) provide the most direct evidence on the refugee shock. Using Bayesian Structural Time Series and hedonic models for Warsaw and Kraków, they found:

- Rents increased dramatically in March–April 2022 (+14% in Warsaw, +16.5% in Kraków).
- House transaction prices rose much more modestly.
- The abnormal rent surge was causally linked to the refugee inflow rather than random fluctuation.

Later work (Gluszak & Trojanek, 2025) extended the analysis to five major cities and confirmed that a 1 percentage point increase in city population due to refugees translated into a 0.72–0.74% increase in rents, with weaker and less consistent effects on sale prices.

Additional pressure came from reduced supply: approximately 18% of Ukrainian refugees were housed for free by Polish families, temporarily removing units from the rental market.

3. Methodology

3.1 Econometric Analysis

ARIMA model with exogenous regressors (ARIMAX) was estimated on quarterly data 2014–2023 for average secondary market apartment prices (PLN/m², 7 major cities). Independent variables included:

- Inflation (CPI, log)
- GDP (log)
- Interest rates (log)
- Dummy variable for the war period (post-Q1 2022)

Standard diagnostic tests were performed (stationarity after differencing, residuals, normality, autocorrelation).

3.2 Survey

An online questionnaire (n=28 Polish residents) collected perceptions regarding housing price changes, attributed causes, living conditions, and future ownership prospects.

4. Main Findings

4.1 ARIMA Results

- Inflation and interest rates showed statistically significant positive effects on housing prices.
- The war dummy was not statistically significant.
- GDP was also insignificant in the specification.

The model confirms that macroeconomic fundamentals dominated price dynamics in the analysed period. However, it focuses on transaction prices rather than rents and has limitations (small sample, outliers during COVID/war, potential omitted variables).

4.2 Survey Insights

- 93% of respondents observed rising housing costs.
- 89% believed the war in Ukraine had at least minor/moderate/major influence.
- Major perceived causes besides the refugee inflow: inflation, government housing programmes (“Kredyt 2%”, “Kredyt 0%”), developer practices, and insufficient housing supply.
- Renters reported significantly lower housing satisfaction than owners or those living with parents.
- Young respondents (18–34) expressed particularly low confidence in ever buying property.

5. Discussion: Reconciling Evidence and Perception

The apparent contradiction between the ARIMA results and both academic literature + public opinion is largely explained by:

- Rents vs Prices — Rental markets react faster to demand shocks.
- Timing and Expectations — Public perception captures immediate pressure and media coverage.
- Domestic Policy Interaction — Subsidised loans amplified demand at the same time as the refugee inflow.
- Local Concentration — Effects were strongest in Warsaw, Kraków, and other large cities.

The refugee crisis therefore acted as an amplifier of pre-existing problems rather than the sole or primary driver of long-term price trends.

6. Policy Recommendations

To improve housing affordability while maintaining openness to refugees and migrants, Poland should consider:

1. Supply-side reforms — Streamline permitting processes, reduce regulatory barriers to new construction, and incentivise build-to-rent projects.
2. Targeted rental market interventions — Tax incentives for institutional landlords and long-term rental supply; careful design of rent controls to avoid reducing future supply.
3. Integration and Housing Support — Transition from free private hosting to sustainable integration pathways (language, employment, dispersed housing).
4. Better Data and Monitoring — Regular publication of rental price indices alongside sale prices and refugee settlement patterns.
5. Balanced Demand-side Policies — Future housing subsidies should be means-tested and paired with supply measures to avoid purely inflationary effects.
6. Public Communication — Clearer distinction by policymakers between short term economic factors (inflation, rates) and structural issues (chronic undersupply).

7. Conclusions

The Ukrainian refugee influx created visible short-term pressure on Poland's rental markets, especially in major cities. However, econometric evidence suggests that broader macroeconomic factors — particularly inflation and interest rate dynamics — played a more decisive role in overall housing price trends during 2022–2024.

The experience underscores the importance of housing supply elasticity. Countries with more flexible construction sectors absorb demographic shocks with smaller price/rent increases. For Poland, addressing chronic undersupply remains the most robust long-term strategy for housing affordability — one that benefits both native citizens and future migrants alike.

References

- Gluszak, M., & Trojanek, R. (2025). War in Ukraine, the refugee crisis, and the Polish housing market. *Housing Studies*.
- Trojanek, R., & Gluszak, M. (2022). Short-run impact of the Ukrainian refugee crisis on the housing market in Poland. *Finance Research Letters*.
- NBP, GUS, and other official sources.